CredIntel AI — Underwriting Policy & Credit Standards

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1. Executive Summary & Lending Principles

CredIntel operates an AI-assisted credit decisioning framework designed to assess borrower cred itworthiness, mitigate systemic default exposure, and ensure equitable lending across retail an d commercial portfolios. All automated machine learning risk predictions augment human underwriting review.

2. Core Eligibility Criteria

- Age Limits: Minimum borrower age is 18 years; maximum age at loan maturity is 70 years.
- Credit Amount Limits: Minimum unsecured credit is 500 DM; maximum automated credit is 200,000 DM.
- Duration Range: Loan terms range strictly between 1 month and 72 months (up to 6 years).
- Terms > 48 months require Tier 1 credit score (A30/A31) or real estate asset backing.
- Employment Stability: Continuous employment of 1+ years preferred; unemployed require checking >= 200 DM.

3. Risk Tiers & Default Probability (PD)

- LOW RISK (PD < 40%): Expedited automated approval; standard prime interest rates apply.
- MEDIUM RISK (40% <= PD < 70%): Secondary review; requires compensating liquid reserves or guarantor.
- HIGH RISK (PD >= 70%): Elevated default propensity; senior credit committee approval mandatory.

Section B — Debt Burdens, Collateral & Guarantors

4. Installment Rate & Debt-Service Limits

- Rate 1 (>= 35% of disposable income): High debt burden; restricted to Low Risk borrowers.
- Rate 2 (25% to 35% of income): Standard retail personal, automobile, and home improvement financing.
- Rate 3 (20% to 25% of income): Optimal lending band; flexible tenure terms.
- Rate 4 (< 20% of income): Favorable low installment pressure; eligible for rate discount.

5. Collateral & Guarantor Policy

- Real Estate (Tier A121): Highest security tier; significantly reduces required loss provisioning.
- Building Society / Life Insurance (Tier A122): Eligible as supplementary secondary repayment security.
- Solvent Guarantors (A102 / A103): Legally joint-liable; elevates Medium Risk applications to Approved.
- No Property / No Assets (A124): Requires positive checking account balance and <= 24 month term.

6. Regulatory & Fairness Compliance

- Transparent Explanations: Every AI prediction must return human-interpretable risk drivers.
- No Autonomous Adverse Action: Rejections require dual officer confirmation.
- Audit Trail: Every application, analysis result, and policy retrieval is timestamped and persisted.